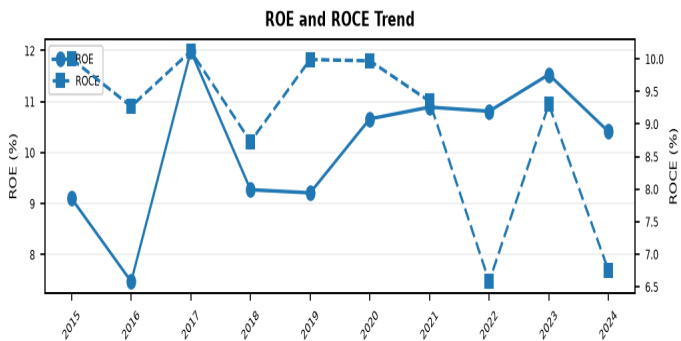
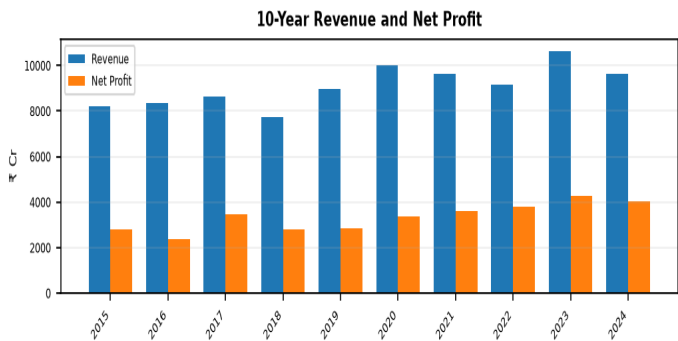
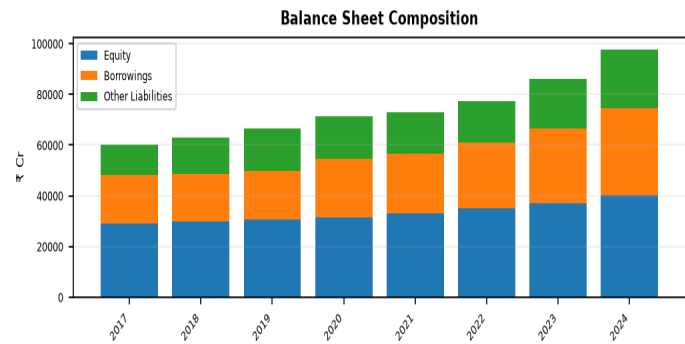


Energy | NHPC, a Mini Ratna category I public sector utility, is Government of India's flagship hydroelectric generation company. The company is primarily involved in the generation and sale of bulk power to various Power Utilities. Its other business includes providing project management / construction contracts/ consultancy assignment services and trading of power.

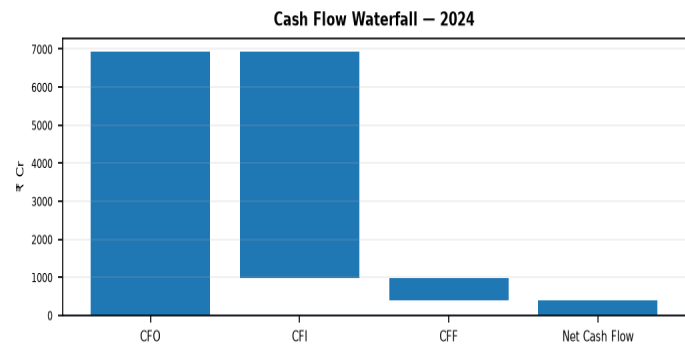
ROE	ROCE	Debt / Equity
10.4%	6.8%	0.84
Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
1.4%	7.3%	970 Cr



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss

CAPITAL ALLOCATION: Reinvestor